Weekly Ship Recycling Report

30 September - 7 October 2022

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Highlights of the Week

Inflation-induced low end-user demand, the depreciation of regional currencies, and rising energy costs worldwide are all contributing to a bleak outlook for ferrous scrap demand for this quarter. Global downfall is just beginning, and it is still unclear what it's effect on the ship recycling industry will be. End-buyers across the major ship recycling destinations are in a wait-and-watch mode till a clear direction of steel demand and prices can be ascertained from their domestic markets. Despite weak sentiments in the ferrous scrap market, the scarcity of units available for recycling has ensured stability of prices being offered by the recyclers for securing the tonnage.

The European Council has adopted its eighth sanctions package against Russia for its invasion of Ukraine, which expands its ban on the import of Russian steel products to include semi-finished steel, the European Commission said in an Oct. 6 statement. Among a number of other restrictions announced, the EC said it was banning the export of coal, including coking coal, which was used in Russian industrial plants. Europe faces a high risk of deindustrialization as soaring energy prices has forced many European corporations to reduce or halt production and shift investments to other regions.

China’s real estate sector, which accounts for more than a third of the country’s steel consumption, has been squeezed by a liquidity crunch and sliding sales, resulting in decreasing profitability of Chinese steel companies. As the nation grapples with the effects of the property market crisis and President Xi Jinping's strict zero-COVID policies, leading economists expect growth to slow to 3.2% this year.

Global foreign-currency reserves are falling at the fastest pace on record as central banks around the world intervene to support their currencies. While most central banks are still capable of keeping interventions going, emerging economies, particularly those with large dollar-denominated debt balances have been hard hit and are struggling to pay for imports of essential items.

Exchange Rates:

USD / INR

This Week	: 82.38
Previous Week	: 81.54
Lost	: 1.02 %

USD / BDT

This Week	: 102.55
Previous Week	: 101.28
Lost	: 1.24 %

USD / PKR

This Week	: 219.79
Previous Week	: 227.92
Gained	: 3.56 %

USD / TL

This Week	: 18.58
Previous Week	: 18.55
Lost	: 0.16 %

India

INR touched an all-time low

- The end buyers are showing mild buying interest at the prevailing rates as the ship plate prices continue to stay volatile. On the demand front, the domestic market outlook remains weak due to prolonged monsoon season and need-based buying has been observed across most regions.
- Bulk ferrous scrap cargoes have become more appealing to Indian importers due to their cost advantages over containerized imports as shipping rates are continually rising.
- Indian steelmakers have long been pushing for the removal of the duty, which has rendered exports an unattractive proposition. The ministry is expected to phase out export duty in a phased manner.
- The Indian rupee has fallen down almost 11% so far in 2022, heading for its worst annual performance since 2013. The Reserve Bank of India has likely sold dollars via state-run banks after the rupee slid below 82 on concerns over U.S. Fed Reserve rate outlook.

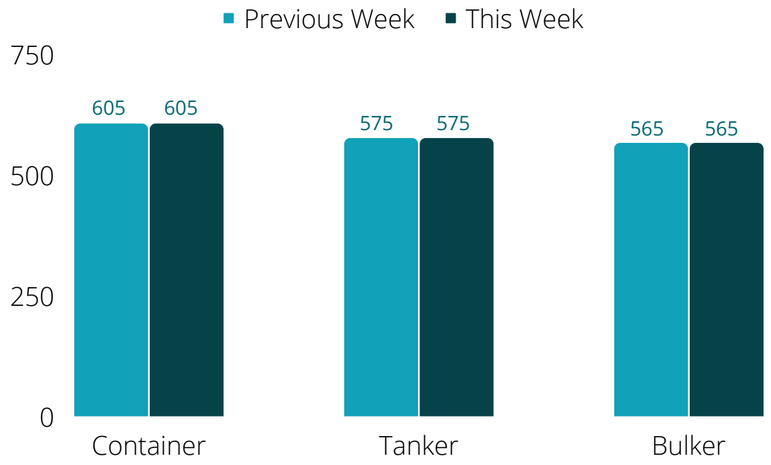
Beaching Dates

7 October to 15 October 2022

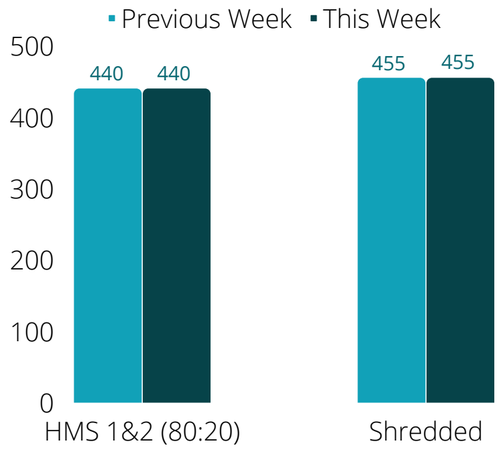
25 October to 31 October 2022

6 November to 13 November 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Weak market sentiments

- The end buyers of Chattogram are seeking small-sized vessels to meet their current demand which has not yet started showing signs of any major uptick. Most of the recyclers have moved to sidelines due to the volatility in demand and ongoing issues in opening Letter of Credit.

- The domestic steel market is subdued owing to unsupportive weather conditions and the halt of government-funded projects due to liquidity constraints.

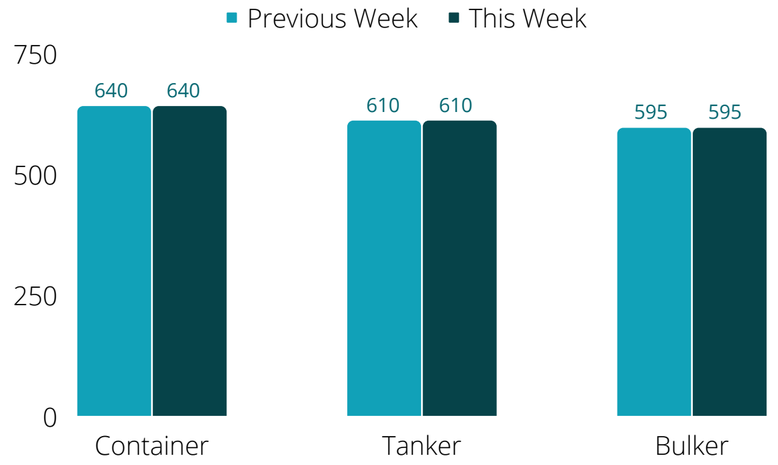
Beaching Dates

8 October to 11 October 2022

24 October to 27 October 2022

6 November to 9 November 2022

Price for Recycling Ships in Bangladesh



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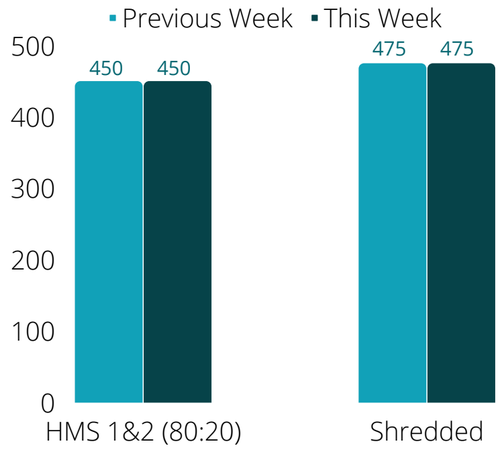


Pakistan

Demand curve remains flat

- Market activities remained muted throughout the weak on back of sluggish finished steel demand. Typically, October is a peak demand month for this region, but this year the situation is quite different with many steel mills having suspended their operations temporarily.

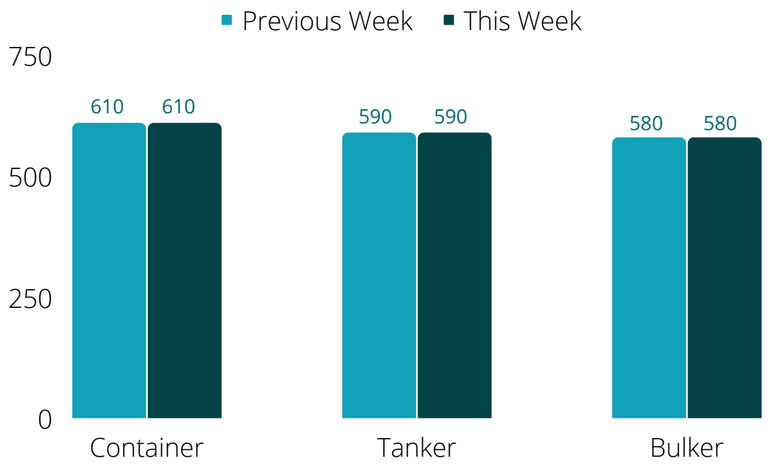
- Imported scrap prices are likely to come down as buyers are showing less interest in booking any fresh material at these levels.

- Steel industry participants are urging the State Bank of Pakistan to cut interest rates urgently so that steel manufacturers slipping into financial troubles can hoist themselves up again. Said troubles have come about due to a slowing down economy, now worsened only by the devastating floods that have sent demand hurtling down.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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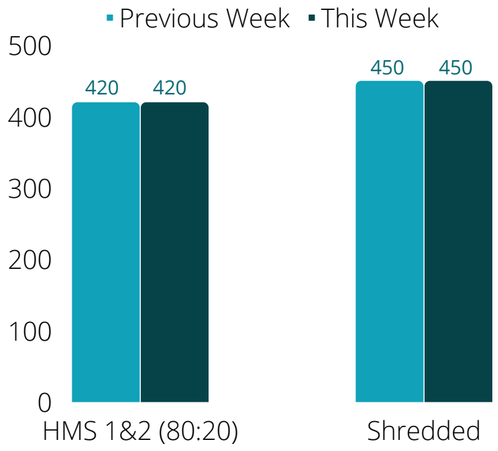


Türkiye

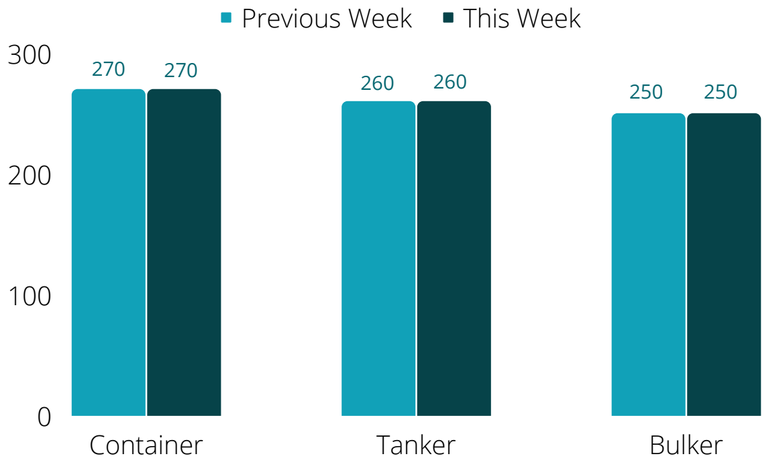
Inflation surges to 83% - a 24-year high

- The continual fall in Lira's value is making it difficult for the recycling yards to maintain their operations. Majority of yard owners have taken a step back to check the market situation, as demand from downstream sectors is yet to improve.
- Domestic and imported scrap prices have increased by about USD 10/MT week-on-week.
- Lira dropped to a record low this week adding to the monetary instability in the nation. Runaway inflation and a collapsing lira are pushing a major population of Turkey to the brink of financial ruin.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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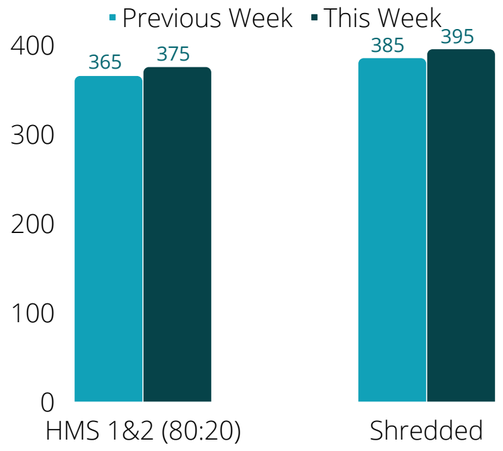
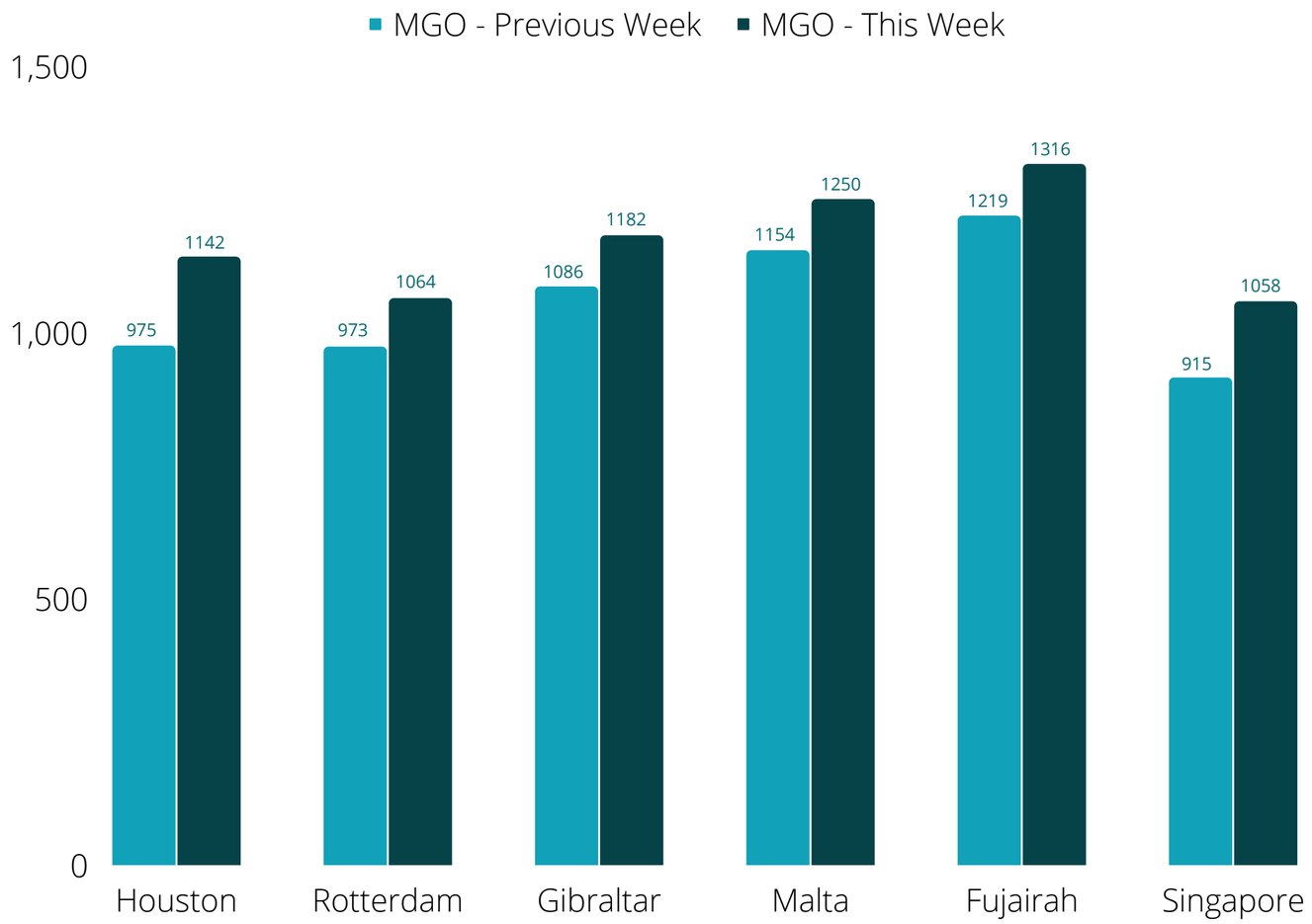


Bunker Prices at Port



Brent Crude

This Week	:	94.29
Previous Week	:	88.38
Movement	:	+6.27 %

WTI Crude

This Week	:	88.34
Previous Week	:	81.50
Movement	:	+7.74 %

- Global oil supply is set to tighten, intensifying concerns over soaring inflation after the OPEC+ group of nations announced its largest supply cut since 2020 ahead of European Union embargoes on Russian energy.

- Saudi Arabia's Energy Minister says that the alliance is being proactive in adjusting supply ahead of a possible downturn in demand because a slowing global economy needs less fuel for travel and industry.

List of Vessels Sold this Week

- No Vessel sales to report this week

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